SOLVED PRACTICE WORKBOOK

# GST Council - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing


*Original deterministic study visual; labels are explanatory, not textual quotations.*

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

# CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

# GST Council - Complete Uncompressed Learning Session

## BASIC MCQS / REMEDIATION

### Original MCQs - 36 questions

#### OM1. Special legislative competence

Which provision creates the special shared legislative power over GST?

A. Article 280 B. Article 301 C. Article 246A D. Article 263

**Answer: C.**

**Explanation:** [FACT] Article 246A gives Parliament and State legislatures GST competence, subject to Parliament's exclusive power over inter-State supplies.

#### OM2. Inter-State supply

Under Article 246A(2), exclusive legislative power over GST on inter-State supply belongs to:

A. the Finance Commission. B. the GST Council. C. Parliament. D. State legislatures collectively.

**Answer: C.**

**Explanation:** [FACT] The Council recommends and Article 269A handles allocation, but Parliament has the exclusive inter-State legislative field.

#### OM3. IGST bridge

Which Article provides for Union levy and collection of GST on inter-State supplies with apportionment?

A. Article 268 B. Article 279 C. Article 270 D. Article 269A

**Answer: D.**

**Explanation:** [FACT] Article 269A is the constitutional IGST and place-of-supply bridge.

#### OM4. Council chair

The constitutional Chairperson of the GST Council is:

A. the Minister of State for Finance. B. the Union Finance Minister. C. the Prime Minister. D. the Revenue Secretary.

**Answer: B.**

**Explanation:** [FACT] Article 279A(2)(c) expressly names the Union Finance Minister.

#### OM5. State representation

Each State Government is represented constitutionally by:

A. its finance/taxation minister or another minister it nominates. B. one legislator elected by the Assembly. C. its Chief Secretary only. D. the Governor.

**Answer: A.**

**Explanation:** [FACT] Article 279A(2)(b) uses ministerial representation, not officials as voting substitutes.

#### OM6. Vice-Chair

The Vice-Chairperson is chosen:

A. automatically by seniority among Chief Ministers. B. by the Council Secretariat. C. by State members from among themselves for a period they decide. D. by the President from Union ministers.

**Answer: C.**

**Explanation:** [FACT] Article 279A(3) leaves both selection and period to State members.

#### OM7. Secretariat status

Which statement is correct?

A. The Secretariat is an administrative arrangement supporting the constitutional Council. B. The Constitution creates an independent permanent GST civil service. C. The CBIC Chairperson carries the Union's one-third vote. D. Article 279A makes the Revenue Secretary a voting member.

**Answer: A.**

**Explanation:** [FACT] The Cabinet approved the Secretariat, ex-officio Secretary and non-voting invitee; these are not additional constitutional members.

### OM8. Recommendation field

Which subject is not an Article 279A(4) recommendation field?

A. floor rates with bands. B. thresholds for GST exemption. C. special disaster rates. D. horizontal tax devolution among States from the divisible pool.

**Answer: D.**

**Explanation:** [FACT] Horizontal devolution belongs to the Finance Commission architecture, not GST Council rate design.

### OM9. Petroleum date

Article 279A(5) requires the Council to recommend:

A. customs duty on crude oil. B. permanent exclusion of every petroleum product. C. the date for GST levy on five specified petroleum products. D. State VAT rates on alcohol.

**Answer: C.**

**Explanation:** [FACT] Crude, HSD, petrol, natural gas and ATF are deferred to a Council-recommended date.

### OM10. Quorum

The constitutional quorum is:

A. two-thirds of all members. B. one-third of voting States. C. one-half of total Council members. D. three-fourths of members present.

**Answer: C.**

**Explanation:** [FACT] Article 279A(7) fixes one-half of total membership.

### OM11. Passing threshold

A formal Council decision requires:

A. at least three-fourths of weighted votes present and voting. B. simple majority of persons present. C. unanimity. D. two-thirds of unweighted votes.

**Answer: A.**

**Explanation:** [FACT] Consensus is practice; Article 279A(9) supplies the weighted legal threshold.

### OM12. Vote weights

Which pairing is correct?

A. Union one-fourth; States three-fourths. B. Union one-half; States one-half. C. Union one-third; States together two-thirds. D. Union two-thirds; States one-third.

**Answer: C.**

**Explanation:** [FACT] The Constitution divides total votes cast in that ratio.

### OM13. Union blocking position

Why can the Union block a proposal?

A. Without Union support, State weight can reach only two-thirds, below three-fourths. B. Every State vote is advisory. C. Parliament must first approve each vote. D. The Chairperson has an absolute veto written in Article 279A.

**Answer: A.**

**Explanation:** [ANALYSIS] The blocking effect follows arithmetically from the constitutional weights, not from a separate veto clause.

### OM14. State coalition needed

If the Union votes in favour, what fraction of State votes present and voting must support the proposal at minimum?

A. two-thirds. B. three-fourths. C. one-half. D. five-eighths.

**Answer: D.**

**Explanation:** [ANALYSIS] Three-fourths minus one-third leaves five-twelfths; divided by the States' two-thirds weight, this equals five-eighths.

### OM15. Consensus

Which statement best describes consensus in the Council?

A. It constitutionally replaces voting. B. It is a preferred practice operating alongside the formal Article 279A(9) rule. C. It requires judicial certification. D. It means the Union has no vote.

**Answer: B.**

**Explanation:** [FACT] The official Council page describes consensus practice; [LIMIT] the weighted rule remains legally available.

### OM16. Council recommendation and law

A Council press release announcing a rate change:

A. must be followed through the competent legal instrument for enforceable effect. B. is equivalent to a Supreme Court order. C. binds consumers before any effective date. D. automatically amends every GST Act.

**Answer: A.**

**Explanation:** [FACT] Statutes and Gazette notifications create the applicable liability.

### OM17. Dual GST

An ordinary intra-State taxable supply broadly attracts:

A. CGST plus SGST/UTGST. B. customs duty only. C. IGST only. D. compensation cess only.

**Answer: A.**

**Explanation:** [FACT] Parallel Union and State/UT laws operationalise the shared Article 246A field.

### OM18. Input-tax credit

The core economic function of eligible ITC is to:

A. exempt every business input. B. transfer GST Council votes. C. replace every tax with a fee. D. reduce cascading by crediting eligible input tax against output liability.

**Answer: D.**

**Explanation:** [FACT] Sections 16 and 49 form the broad credit-entitlement and use architecture.

### OM19. Inverted duty

An inverted duty structure occurs where:

A. no invoice is issued. B. direct tax exceeds indirect tax. C. output is exported. D. the input tax rate exceeds the output tax rate.

**Answer: D.**

**Explanation:** [FACT] The mismatch can accumulate credit and create refund/cash-flow pressure.

### OM20. Zero-rating

Which category is designed to preserve a credit/refund route despite relief from output burden?

A. every nil-rated supply. B. zero-rated supply under the IGST framework. C. every non-GST supply. D. every exempt domestic supply.

**Answer: B.**

**Explanation:** [FACT] Exports and qualifying SEZ supplies are the standard zero-rating examples, subject to law.

### OM21. Alcohol boundary

Alcoholic liquor for human consumption is:

A. merely deferred under Article 279A(5). B. zero-rated by Article 269A. C. excluded from the GST definition by Article 366(12A). D. assigned to the Finance Commission.

**Answer: C.**

**Explanation:** [FACT] This is a constitutional definition exclusion, unlike the petroleum-date mechanism.

### OM22. Electricity boundary

Which statement is precise?

A. The GST Council alone collects electricity duty. B. Electricity duty was constitutionally converted into IGST. C. Electricity is excluded by the same words as alcohol in Article 366(12A). D. State List Entry 53 retains tax on consumption or sale of electricity; GST supply treatment also depends on law/notification.

**Answer: D.**

**Explanation:** [FACT] Electricity follows a different constitutional and notification route from alcohol and petroleum.

### OM23. Compensation base

The Compensation Act used which base year?

A. 2017-18. B. financial year ending 31 March 2016. C. 2016-17. D. 2019-20.

**Answer: B.**

**Explanation:** [FACT] Section 4 identifies FY 2015-16 as the base year.

### OM24. Protected growth

The projected nominal annual growth rate under the Compensation Act was:

A. 10 per cent. B. 14 per cent. C. 15 per cent. D. 12 per cent.

**Answer: B.**

**Explanation:** [FACT] Section 3 set 14 per cent for the transition period.

### OM25. Compensation duration

The statutory transition period was:

A. ten years from enactment. B. permanent. C. dependent on each Finance Commission. D. five years from the transition date.

**Answer: D.**

**Explanation:** [FACT] The five-year period ended in June 2022 for the GST launch timeline.

### OM26. Cess after June 2022

Which statement is safe?

A. Every cess entered the divisible pool. B. Cess continuation for pandemic loan/interest servicing is distinct from extending the five-year entitlement. C. States acquired power to set the cess unilaterally. D. The compensation entitlement automatically became permanent.

**Answer: B.**

**Explanation:** [CURRENT] The official 56th FAQ links specified cess continuation to discharge of loan and interest liabilities.

### OM27. Mohit Minerals

The Supreme Court held Council recommendations to legislatures are:

A. irrelevant. B. binding decrees. C. persuasive/recommendatory. D. constitutional amendments.

**Answer: C.**

**Explanation:** [FACT] The Court tied recommendatory status to simultaneous legislative power and collaborative dialogue.

### OM28. Delegated notification

After *Mohit Minerals*, where a GST statute authorises notification "on the recommendations of the Council":

A. the executive must satisfy the statutory condition. B. the recommendation automatically becomes primary law. C. only States must comply. D. the executive may ignore the condition.

**Answer: A.**

**Explanation:** [FACT] The judgment separates legislative autonomy from statute-bound delegated action.

### OM29. Ocean freight

The ocean-freight levy was ultimately invalid because:

A. imports cannot be inter-State supplies. B. the Council lacked any power to discuss freight. C. Article 279A was repealed. D. it conflicted with the statutory composite-supply scheme and duplicated the freight component.

**Answer: D.**

**Explanation:** [FACT] The Court's outcome rested on the IGST/CGST statutory scheme, not a blanket invalidation of Council-linked notifications.

### OM30. Article 279A(11)

The clause (11) mechanism concerns:

A. intergovernmental disputes arising from Council recommendations or implementation. B. private commercial arbitration. C. taxpayer assessment appeals. D. election disputes.

**Answer: A.**

**Explanation:** [FACT] It covers Union-State and State-State disputes, not the ordinary taxpayer hierarchy.

### OM31. Finance Commission comparison

Which body recommends Union-State tax devolution and grants?

A. GST Council. B. Finance Commission. C. Zonal Council. D. Inter-State Council.

**Answer: B.**

**Explanation:** [FACT] Article 280 performs redistribution; Article 279A coordinates GST design.

### OM32. Inter-State Council comparison

The Inter-State Council is best distinguished as:

A. a statutory regional body. B. the rate-notification authority. C. a broad advisory coordination forum enabled by Article 263. D. a periodic expert tax commission.

**Answer: C.**

**Explanation:** [FACT] It does not possess the GST Council's weighted tax vote.

### OM33. Local-government effect

Which is the soundest analytical statement?

A. Article 279A replaced State Finance Commissions. B. Subsuming entry tax/octroi can affect local own-revenue space, requiring State-local fiscal adjustment. C. Municipalities became GST Council voting members. D. GST compensation was paid constitutionally to every municipality.

**Answer: B.**

**Explanation:** [ANALYSIS] Local effects are real, but constitutional compensation was to States and local finance remains State-mediated.

### OM34. Latest located meeting release

For this package's control date, the latest official meeting recommendation release located was:

A. a 2026 57th meeting release. B. the 55th meeting only. C. no official release. D. the 56th meeting release of 3 September 2025.

**Answer: D.**

**Explanation:** [CURRENT] No later official meeting release was established; April 2026 material was a newsletter, not a new meeting outcome.

### OM35. Current rate writing

The safest way to state a current GST rate is:

A. identify the applicable notification, classification, conditions and effective date. B. rely only on coaching summaries. C. assume every recommendation was notified unchanged. D. quote the Council headline without date.

**Answer: A.**

**Explanation:** [LIMIT] Council recommendations and legally effective rates are distinct stages.

### OM36. Reform status

Which statement correctly labels reform?

A. An independent fiscal council currently sets GST rates. B. Article 279A already mandates public release of every internal model. C. Article 279A(11) has been repealed. D. Fuller reasons, independent data and a neutral dispute panel are proposals, not current law.

**Answer: D.**

**Explanation:** [ANALYSIS] Reform proposals must be separated from enacted constitutional and statutory rules.

## Remedial MCQs - 12 questions

### RM1. Quorum-versus-weight trap

Which pairing is correct?

A. quorum one-half; Union vote weight one-third. B. both are three-fourths. C. quorum one-third; Union vote weight one-half. D. both are two-thirds.

**Answer: A.**

**Explanation:** [FACT] These are separate constitutional fractions with different functions.

### RM2. Union-pass trap

The Union voting alone:

A. passes because it chairs the meeting. B. cannot pass because its weight is only one-third. C. converts the recommendation into law. D. passes if quorum exists.

**Answer: B.**

**Explanation:** [FACT] Three-fourths weighted support is required.

### RM3. States-alone trap

All States present and voting in favour, with the Union opposed, produce at most:

A. unanimity. B. two-thirds, so the proposal fails. C. four-fifths. D. three-fourths.

**Answer: B.**

**Explanation:** [ANALYSIS] State weight cannot cross the formal threshold without Union support.

### RM4. Recommendation trap

“Council recommendations are non-binding” means:

A. no GST notification needs Council input. B. the Council is unconstitutional. C. primary legislatures retain power, while delegated action remains governed by its statute. D. States may ignore every statutory condition.

**Answer: C.**

**Explanation:** [FACT] This is the precise *Mohit Minerals* distinction.

### RM5. Petroleum trap

Which statement corrects “petrol can never enter GST”?

A. Article 279A(5) allows GST from a Council-recommended and legally notified date. B. State legislatures alone decide inter-State petrol GST. C. Petrol was excluded by Article 366(12A). D. The Finance Commission fixes the date.

**Answer: A.**

**Explanation:** [FACT] Deferral is not permanent constitutional exclusion.

### RM6. Compensation trap

Which statement is correct?

A. June 2022 ended every compensation-cess liability immediately. B. The 2017 Act created a five-year, formula-based transition guarantee. C. Article 279A permanently guarantees 14 per cent revenue growth. D. Compensation is an Article 280 grant.

**Answer: B.**

**Explanation:** [FACT] Separate constitutional direction, statute, cess and loan servicing.

### RM7. Exemption trap

Which distinction is correct?

A. the Council itself credits refunds. B. non-GST and nil-rated are constitutional synonyms. C. exempt and zero-rated always have identical ITC consequences. D. zero-rating can preserve credit/refund pathways unlike ordinary exemption.

**Answer: D.**

**Explanation:** [FACT] Credit consequences depend on the category and statutory framework.

### RM8. Secretariat trap

Which statement is inaccurate?

A. Article 279A makes the Secretariat a fourth constitutional government. B. CBIC Chair is a non-voting permanent invitee. C. the Secretariat supports Council proceedings. D. Revenue Secretary is ex-officio Secretary by administrative arrangement.

**Answer: A.**

**Explanation:** [LIMIT] Administrative support must not be inflated into a constitutional tier.

### RM9. Latest-source trap

Which dated formulation is safest?

A. “All 2025 recommendations were self-executing.” B. “As of 24 August 2026, the latest official meeting release located is the 56th meeting release of 3 September 2025.” C. “The April 2026 newsletter is the 57th meeting.” D. “A 57th meeting certainly occurred in August 2026.”

**Answer: B.**

**Explanation:** [CURRENT] The statement reports the evidence located without claiming universal absence.

### RM10. Electricity trap

Electricity is best handled by saying:

A. it is a Finance Commission tax. B. it is excluded by Article 366(12A) exactly like alcohol. C. State Entry 53 and applicable GST notifications must be distinguished. D. Article 269A makes every electricity sale inter-State.

**Answer: C.**

**Explanation:** [FACT] This avoids collapsing different constitutional and statutory routes.

### RM11. Clause (11) trap

GSTAT is not automatically the Article 279A(11) mechanism because:

A. only Parliament may hear tax cases. B. Article 279A(11) was omitted. C. GSTAT handles statutory taxpayer appeals, while clause (11) concerns intergovernmental disputes. D. GSTAT sets rates.

**Answer: C.**

**Explanation:** [FACT] The disputants and legal sources differ.

### RM12. Institutional comparison trap

Which pairing is wrong?

A. Inter-State Council - broad coordination. B. Zonal Councils - regional statutory forum. C. Finance Commission - tax devolution. D. GST Council - final CAG certification of net proceeds.

**Answer: D.**

**Explanation:** [FACT] CAG certification under Article 279 belongs to fiscal-transfer mechanics, not Council rate design.

## PYQS AND ANSWER PRACTICE

[FACT] This H2 deliberately begins all practice material so that `markdown_learning_pdf.py --mode workbook` extracts the workbook and stops before the final consolidated register notes.

[FACT] Audited routing ledgers for 2018-2023, 2024-2025 and 2026 were searched for GST Council, Article 279A, Article 246A, GST, cooperative/accommodative federalism and *Mohit Minerals*.

[FACT] One direct Polity Mains PYQ was verified: **2023 GS-II Q15** on the 101st Amendment and accommodative federalism.

[FACT] Three closely adjacent verified GST questions are included without relabelling ownership: **2018 Prelims Q97** on GST exemption, **2019 GS-III Q1** on subsumed indirect taxes/revenue implications, and **2020 GS-III Q12** on compensation/COVID federal tension.

[FACT] One wider adjacent fiscal-federalism question, **2025 GS-II Q14**, is included because GST is one necessary reform dimension; its principal owner remains Centre-State Relations.

[LIMIT] No direct standalone 2024, 2025 or 2026 GST Council question was found in the audited routes. The 2016 Essay prompt “Cooperative federalism: Myth or reality” is thematically useful but is not relabelled here as a GST Council PYQ.

### Visual 51 - PYQ route audit

| Year | Stage/paper | Directness | Package treatment |
|---|---|---|---|
| 2018 | Prelims GS-I Q97 | adjacent GST-rate/exemption mechanics | solve with historical-key limitation |
| 2019 | GS-III Q1 | adjacent GST structure/economy | full model solution |
| 2020 | GS-III Q12 | adjacent compensation/federalism | full model solution |
| 2023 | GS-II Q15 | direct constitutional owner | full model solution |
| 2025 | GS-II Q14 | broad fiscal-federalism adjacency | full routed model, ownership qualified |

### Verified PYQ 1 - UPSC Prelims 2018, Q97

**Question:** Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

A. 1 only B. 2 and 3 only C. 1, 2 and 4 only D. 1, 2, 3 and 4

### Controlled resolution

- [FACT] The audited ledger verifies the official question route but records that the local official key was unavailable.
- [ANALYSIS] The historically accepted resolution is **C: 1, 2 and 4**; processed/canned fish was not within the exemption combination.
- [LIMIT] This is not labelled an official UPSC key in this package. Item-specific 2018 rates are historical and must not be used as a 2026 rate list.

**Why this earns marks:** It answers the historical question while separating question verification, key status and current-rate volatility.

## Verified PYQ 2 - UPSC GS-III 2019, Q1 - 10 marks, 150 words

**Question:** "Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017."

### Demand decoding

| Part | Required response |
|---|---|
| enumerate | name Central and State levies, not generic "many taxes" |
| comment | gains plus transition/revenue qualifications |
| time frame | introduction since July 2017 |

### Evidence-led model solution

GST subsumed major Central levies such as central excise on most goods, service tax, additional excise duties, countervailing duty and special additional customs duty, along with relevant Central cesses and surcharges on supply. At the State level it absorbed VAT/sales tax on most goods, Central Sales Tax, purchase tax, entry tax/octroi, luxury tax, and most entertainment, betting, gambling and lottery taxes.

The revenue logic was positive in design. [FACT] Article 246A created a shared tax base, Article 269A enabled destination-based IGST settlement, and invoice-linked ITC reduced cascading. [ANALYSIS] A wider common base and digital reporting could improve buoyancy and formalisation.

The transition was uneven. Rate changes, refund delays, ITC mismatches and compliance costs affected collections and working capital. Destination taxation generated adjustment concerns for producing States, which explains the five-year Compensation Act bargain. Petroleum, alcohol, electricity duty, stamp duty and basic customs duty also qualify the "single tax" claim.

GST therefore improved the architecture for long-run revenue and a common market, but its fiscal result depends on base design, compliance, refunds, economic conditions and federal trust rather than the label alone.

**Why this earns marks:** It enumerates named levies, links revenue to Articles 246A/269A and ITC, and qualifies the answer with exclusions and transition costs.

## Verified PYQ 3 - UPSC GS-III 2020, Q12 - 15 marks, 250 words

**Question:** "Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?"

### Evidence-led model solution

The Compensation to States Act, 2017 converted the political assurance behind GST into a time-bound statutory revenue guarantee. States surrendered VAT, entry tax and other independent levies and accepted a destination-based common tax. Manufacturing States feared transition losses and all States faced uncertainty over a new base and compliance system.

[FACT] The Act therefore defined a five-year transition period, adopted FY 2015-16 as the base and projected 14 per cent annual nominal growth in protected revenue. Compensation equalled the statutory gap between projected and actual revenue, financed through a compensation cess and fund. [ANALYSIS] This was the credibility price of pooled sovereignty.

COVID-19 simultaneously reduced GST/cess receipts and raised State health and welfare expenditure. The compensation requirement exceeded the available cess fund, producing disagreement over whether and how the Union should borrow. Back-to-back loans were arranged and cess collection continued beyond the compensation period for debt and interest servicing.

The tension was federal because States had lost much unilateral rate space yet remained responsible for essential services. The Union faced its own borrowing and macro-stability constraints. Delays and uncertainty weakened trust in the Council bargain.

The five-year compensation entitlement ended in June 2022; current cess servicing must not be described as an extension of that entitlement. Future reform requires transparent cess accounts, predictable settlement and a negotiated shock-sharing framework rather than ad hoc bargaining.

**Why this earns marks:** It explains the statutory formula, connects it causally to surrendered autonomy, addresses both COVID revenue mechanics and competing federal constraints, and ends with a precise post-2022 qualification.

### Verified PYQ 4 - UPSC GS-II 2023, Q15 - 15 marks, 250 words

**Question:** “Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism?”

#### Demand decoding

| Demand | Evidence route |
|---|---|
| significance | pre-GST fragmentation; Articles 246A, 269A, 279A; common market |
| accommodative extent | composition, vote, compensation and dialogue |
| qualification | Union veto, State autonomy cost, compensation friction, *Mohit Minerals* |

#### Evidence-led model solution

The 101st Constitutional Amendment is significant because it did not merely introduce a tax; it restructured India's fiscal Constitution. [FACT] Article 246A gives Parliament and State legislatures simultaneous GST power, while reserving inter-State supply to Parliament. Article 269A creates the IGST levy-apportionment bridge. Article 279A establishes a permanent Union-State Council. Article 366(12A) shifts the base to supply while excluding alcoholic liquor for human consumption.

The design reflects accommodative federalism in four ways. First, it pools previously separate tax fields rather than transferring them wholly to one level. Second, every State receives ministerial representation. Third, the Union has one-third and States collectively two-thirds of weighted votes, while three-fourths is required; neither side can pass alone. Fourth, the five-year Compensation Act bargain protected the transition.

Accommodation is qualified. The Union can block a proposal, States lost unilateral rate flexibility, and the end of compensation exposed revenue dependence. Exclusions and compliance burdens prevent a fully seamless market.

*Union of India v. Mohit Minerals* (2022) preserves the federal balance by treating Council recommendations as persuasive, not binding on legislatures, while recognising collaborative dialogue. Statutes may nevertheless condition executive notifications on Council recommendation.

Thus, the Amendment is India's boldest experiment in pooled fiscal sovereignty. Its accommodative character is strong in design but depends in practice on transparent evidence, consensus, dispute settlement and respect for State fiscal capacity.

**Why this earns marks:** It answers both limbs, uses the three-article architecture, computes the federal design, deploys compensation and *Mohit Minerals*, and gives a graded rather than celebratory verdict.

### Verified adjacent PYQ 5 - UPSC GS-II 2025, Q14 - 15 marks, 250 words

**Question:** "Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?"

[LIMIT] The principal owner is Centre-State Relations. GST Council material supplies one dimension and cannot replace Finance Commission, Article 282, cesses/surcharges and borrowing analysis.

#### Evidence-led routed model solution

Centre-State finance evolved from a mixed Finance Commission-Planning Commission system toward a more rule-based but still Union-influenced architecture. During planned development, Finance Commissions handled tax sharing and grants while the Planning Commission and centrally sponsored schemes channelled significant discretionary assistance under Article 282.

Recent reforms changed both institutions and tax bases. The Fourteenth Finance Commission enlarged untied devolution; NITI Aayog replaced the Planning Commission; and plan/non-plan classification ended. [FACT] The 101st Amendment then pooled major indirect taxes through Articles 246A, 269A and 279A. The GST Council gave States a continuing role in common tax design, and the five-year compensation law eased transition.

The impact is substantial but mixed. Formula-based devolution and the Council improved predictability and consultation. *Mohit Minerals* protected legislative autonomy by making Council recommendations persuasive. Yet cesses and surcharges narrow the divisible pool, centrally sponsored schemes retain conditions, GST reduced unilateral State rate-setting, and the June 2022 end of compensation sharpened revenue concerns. Article 293 borrowing consent and uneven State tax capacity add asymmetry.

Reform should widen transparent untied transfers, rationalise cesses and schemes, publish GST revenue modelling, operationalise Article 279A(11), strengthen State and local own revenues and coordinate debt rules.

Fiscal federalism has become more institutionalised and consultative, but not automatically more decentralised. Its quality depends on the real fiscal space behind the formal forums.

**Why this earns marks:** It keeps GST in its proper place inside the wider transfer-and-borrowing system, uses named constitutional evidence and tests reforms against autonomy, equalisation and transparency.

### Original solved Mains practice - 8 questions

#### Original Solved Mains 1 - 10 marks, 150 words

**Question:** Distinguish the constitutional roles of Articles 246A, 269A and 279A in India's GST architecture.

##### Model solution

The three provisions solve different parts of one federal tax problem.

[FACT] **Article 246A** creates legislative competence. Parliament and State legislatures possess simultaneous power over GST, while Parliament has exclusive power over inter-State supplies. It is a special constitutional field, not a normal Concurrent List entry.

[FACT] **Article 269A** creates the inter-State bridge. The Government of India levies and collects IGST, which is apportioned between Union and States under parliamentary law on Council recommendation. Imports are treated as inter-State supplies and Parliament formulates place-of-supply principles.

[FACT] **Article 279A** establishes the Union-State Council that recommends rates, exemptions, thresholds, model laws, apportionment principles and other GST matters.

[ANALYSIS] Together they connect power, revenue destination and negotiated harmonisation. [LIMIT] The Council does not enact tax statutes, and Article 269A does not give States independent inter-State legislative power.

Thus, Article 246A answers **who legislates**, Article 269A **how inter-State GST is allocated**, and Article 279A **how common design is negotiated**.

**Why this earns marks:** It uses one precise function and one limitation for each Article, avoiding the common error of treating all three as Council provisions.

#### Original Solved Mains 2 - 10 marks, 150 words

**Question:** Explain the GST Council's voting arithmetic and its federal significance.

##### Model solution

[FACT] Article 279A requires one-half of total members for quorum. A decision needs at least three-fourths of weighted votes of members present and voting. The Union has one-third; States collectively have two-thirds.

The arithmetic deliberately prevents unilateral passage. The Union alone has only one-third. States alone can reach only two-thirds, below three-fourths. If the Union supports a proposal, the remaining five-twelfths must come from the States; this equals five-eighths, or 62.5 per cent, of State votes present and voting.

[ANALYSIS] The system combines a Union blocking position with a compulsory State coalition. It supports harmonisation because both levels must negotiate. Consensus practice further lowers the political cost of formal division.

[LIMIT] The balance is asymmetric: the Union can block alone, while no single State has comparable weight. Abstentions also alter the State denominator.

The voting design is therefore accommodative but not perfectly equal federalism: it constitutionalises bargaining between a nationally weighted Union and collectively weighted States.

**Why this earns marks:** It computes the five-eighths requirement, explains both non-unilateralism and asymmetry, and distinguishes quorum, weight and consensus.

### Original Solved Mains 3 - 15 marks, 250 words

**Question:** “The GST Council recommends, but legislatures and governments give legal effect.” Examine.

##### Model solution

The GST Council is a constitutional coordinating institution, not a super-legislature.

[FACT] Article 279A(4) authorises recommendations on subsumed taxes, taxable or exempt supplies, model laws, place of supply, thresholds and rates. Article 246A separately vests legislative power in Parliament and State legislatures. The CGST, SGST and IGST Acts therefore create the charge, liability, credit, procedure and remedies.

Delegated action forms the next layer. [FACT] CGST Act section 9 permits notified rates and specified reverse-charge categories on Council recommendation; section 11 permits public-interest exemptions on Council recommendation. The applicable rate depends on the competent Gazette notification, classification, conditions and effective date, not merely the meeting press release.

*Union of India v. Mohit Minerals* (2022) clarifies the relationship. Council recommendations are persuasive, not binding on primary legislatures, because Article 246A confers simultaneous legislative power. However, where a statute conditions executive rule-making or notification on Council recommendation, the executive must follow that statutory requirement.

[ANALYSIS] This layered system preserves democratic legislative authority while enabling national harmonisation. Its weakness is communication: recommendation, enactment, notification and portal implementation may occur at different times.

[LIMIT] “Non-binding” does not mean irrelevant, and “Council decided” does not by itself prove a taxpayer's current liability.

Reform should publish a single tracker marking recommendation, instrument, effective date and implementation status.

**Why this earns marks:** It uses Articles 279A/246A, sections 9/11 and *Mohit Minerals* to trace the full legal-effect chain with a practical reform.

### Original Solved Mains 4 - 15 marks, 250 words

**Question:** Assess whether GST has strengthened cooperative federalism while weakening State fiscal autonomy.

##### Model solution

GST simultaneously strengthens intergovernmental cooperation and narrows unilateral State tax choice.

**Cooperation strengthened.** [FACT] Article 279A places every State at a ministerial table with the Union. The one-third Union, two-thirds States and three-fourths threshold prevents unilateral passage. Article 269A requires common inter-State settlement, while the five-year Compensation Act enabled States to enter a destination-based system. Shared rules reduce cascading and internal tax barriers.

**Autonomy constrained.** States surrendered VAT, entry tax and other levies and cannot independently redesign the common base without credit-chain and market consequences. The Union's one-third weight gives it a blocking position. Compliance systems, rate rationalisation and the June 2022 end of compensation can deepen revenue dependence, especially for States with narrow own-tax bases.

**Constitutional counterweight.** [FACT] *Mohit Minerals* treats Council recommendations as persuasive, preserving State legislative power under Article 246A. States also retain alcohol, electricity-duty and specified-petroleum fields. Thus GST collectivises rather than extinguishes autonomy.

[ANALYSIS] The correct test is not whether States remain fully sovereign over rates, but whether negotiated decisions rest on transparent data, credible transitions and fair dispute resolution.

[LIMIT] Consensus can coexist with unequal fiscal leverage.

GST is cooperative in institutional design and centralising in some fiscal effects. Its federal legitimacy depends on making pooled sovereignty genuinely reciprocal.

**Why this earns marks:** It presents a balanced thesis, links every side to named provisions and gives a graded autonomy verdict rather than a binary label.

### Original Solved Mains 5 - 15 marks, 250 words

**Question:** Explain the compensation bargain under GST and evaluate the post-June 2022 federal challenge.

##### Model solution

GST compensation was the transition price of a major federal tax bargain.

[FACT] Section 18 of the 101st Amendment directed a parliamentary law for five-year compensation. The 2017 Act used FY 2015-16 as the base, projected 14 per cent annual nominal growth and compensated the statutory gap between projected and actual revenue. A compensation cess and non-lapsable fund financed payments.

[ANALYSIS] The design addressed three State concerns: surrender of VAT and entry-tax autonomy, destination-based revenue movement away from production, and uncertainty during migration to a common compliance system. It converted political assurance into a calculable legal commitment.

COVID-19 damaged both sides of the formula: collections and cess receipts fell while protected requirements and State expenditure pressure rose. Back-to-back borrowing bridged part of the shortfall and cess collection continued for debt/interest servicing.

The compensation entitlement ended in June 2022. [LIMIT] Continuing cess on specified goods is not a perpetual extension of the 14 per cent guarantee. The official 56th meeting FAQ linked transition of specified tobacco rates to complete discharge of loan and interest liabilities but gave no exact final date used here.

Post-2022 challenges include weaker trust, uneven State revenue capacity and no settled shock-sharing rule. Reform should publish cess accounts, distinguish entitlement from debt service, model State-specific transition effects and negotiate a rules-based emergency facility.

**Why this earns marks:** It states the exact formula and period, explains political rationale, separates COVID financing from entitlement and offers feasible post-transition reforms.

### Original Solved Mains 6 - 20 marks, 250 words

**Question:** Critically analyse the constitutional and economic case for bringing the five specified petroleum products into GST.

##### Model solution

The Constitution postpones, rather than prohibits, GST on petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel. [FACT] Article 279A(5) requires a Council-recommended date; Article 246A's explanation and CGST Act section 9(2) connect levy to that date and notification.

**Case for inclusion.** Petroleum is a major business input. Exclusion breaks ITC chains in transport, aviation, industry and power-linked sectors, embeds tax in prices and weakens the common-market claim. IGST settlement could reduce inter-State distortions, and a harmonised base could improve transparency.

**Federal and fiscal objections.** State VAT on fuel is a substantial, adjustable own-revenue source; Union excise also serves fiscal and policy goals. GST inclusion could reduce rate flexibility, create compensation demands and expose revenue to Council bargaining. Fuel prices carry inflation, environmental and distributional effects, so a low uniform rate may be fiscally costly while a high rate may defeat simplification.

**Design route.** The Council should use product-specific modelling rather than an all-at-once slogan: publish revenue-neutral scenarios, protect existing debt/fiscal space, allow a transition band, integrate ITC gradually, and review carbon and transport effects. Natural gas or ATF may present different trade-offs from petrol and diesel.

[LIMIT] Inclusion requires a Council recommendation and legally effective instrument; it is not achieved by policy speech.

Petroleum inclusion has a strong efficiency case but must be a negotiated fiscal transition. The constitutional answer is phased cooperative federalism, not permanent exclusion or abrupt uniformity.

**Why this earns marks:** It begins with exact Article 279A(5), weighs credit-chain gains against State own-revenue loss, differentiates products and supplies an implementable route.

### Original Solved Mains 7 - 20 marks, 250 words

**Question:** Evaluate *Mohit Minerals* as a judgment on fiscal federalism rather than merely an ocean-freight tax case.

##### Model solution

*Union of India v. Mohit Minerals* (2022) arose from IGST on ocean freight in CIF imports, but its constitutional significance lies in defining authority inside the GST compact.

[FACT] The Supreme Court held Council recommendations non-binding on Union and State legislatures and persuasive within collaborative dialogue. Article 246A grants simultaneous power; it is not made subject to Article 279A. Treating Council recommendations as binding edicts would subordinate legislatures and disturb fiscal federalism.

The judgment nevertheless preserves coordination. Where CGST/IGST statutes condition delegated notification or rule-making on Council recommendation, the executive is bound by that statutory requirement. The Court also did not invalidate the Council as an institution. It invalidated the ocean-freight levy because the separate service charge conflicted with the statutory composite-supply framework in which IGST had already captured freight within import value.

[ANALYSIS] The ruling shifts GST from hierarchical uniformity to negotiated harmonisation. States retain constitutional voice and may contest, while credit chains and market costs create incentives to agree. This recognises Indian federalism as cooperation plus possible contestation.

[LIMIT] The decision can generate divergence if political dialogue fails, and it does not answer every notification dispute. Nor does it make Council expertise dispensable.

The best institutional response is reasoned recommendations, transparent impact data and an operational Article 279A(11) mechanism. *Mohit Minerals* strengthens the Council by grounding its legitimacy in persuasion and law, not command.

**Why this earns marks:** It connects the case facts, constitutional holding, delegated-action qualification and federal consequence, while rejecting both “binding Council” and “irrelevant Council” extremes.

### Original Solved Mains 8 - 20 marks, 250 words

**Question:** Suggest an accountability and reform framework that can make the GST Council a more durable institution of fiscal federalism.

##### Model solution

The Council's durability depends on whether States and taxpayers can trace a recommendation from evidence to legal effect and fiscal outcome.

**First, improve deliberative transparency.** Publish agendas where feasible, fuller minutes, dissent, revenue assumptions and reasons. A notification tracker should separately mark Council recommendation, statutory authority, Gazette instrument, effective date and portal implementation.

**Second, strengthen evidence.** An independent technical unit should publish distributional, State-revenue, inflation, ITC and compliance modelling with assumptions and error bands. [LIMIT] It should advise, not acquire rate-setting power.

**Third, operationalise Article 279A(11).** A neutral intergovernmental panel needs defined jurisdiction, timelines, reasoned decisions and a clear relationship with Article 131 and judicial review. It must remain separate from taxpayer appeals and GSTAT.

**Fourth, rebuild transition trust.** Publish compensation-cess and loan-servicing accounts, avoid implying a permanent 14 per cent guarantee, and design a rules-based shock facility for future nationwide disruptions.

**Fifth, simplify without fiscal blindness.** Use a stable review calendar, reduce inversions and classification disputes, support small firms and assess State/local-government revenue effects before changes.

**Sixth, protect federal reciprocity.** Preserve consensus where possible, record formal votes when needed and disclose implementation delays by both levels.

[FACT] Articles 246A, 269A and 279A already supply competence, settlement and negotiation; *Mohit Minerals* protects legislative autonomy. [ANALYSIS] Reform should therefore improve legitimacy and execution, not replace legislatures with technocracy.

The goal is transparent pooled sovereignty: common rules produced by evidence, reciprocal accommodation and enforceable legal instruments.

**Why this earns marks:** It diagnoses transparency, data, dispute, compensation, compliance and federal-accountability gaps and pairs each proposal with an institutional safeguard.